

- Companies that have no debt can't go bankrupt.
- Managerial ability may be important, but it's quite difficult to assess. Base your purchases on the company's prospects, not on the president's resume or speaking ability.
- A lot of money can be made when a troubled company turns around.
- Carefully consider the price-earnings ratio. If the stock is grossly overpriced, even if everything else goes right, you won't make any money.
- Find a story line to follow as a way of monitoring a company's progress.
- Look for companies that consistently buy back their own shares.
- Study the dividend record of a company over the years and also how its earnings have fared in past recessions.
- Look for companies with little or no institutional ownership.
- All else being equal, favor companies in which management has a significant personal investment over companies run by people that benefit only from their salaries.
- Insider buying is a positive sign, especially when several individuals are buying at once.
- Devote at least an hour a week to investment research. Adding up your dividends and figuring out your gains and losses doesn't count.
- Be patient. Watched stock never boils.
- Buying stocks based on stated book value alone is dangerous and illusory. It's real value that counts.
- When in doubt, tune in later.
- Invest at least as much time and effort in choosing a new stock as you would in choosing a new refrigerator.